Remarks:

(i) If the market value of a share is greater than the face value then, the share is said to be above par (or at premium).

(ii) If the market value of a share is the same as its face value then, the share is said to be at par.

(iii) If the market value of a share is less than the face value then, the share is said to be below par (or at discount).

Dividend :

The profit gained by a company, distributed among their share holders is called dividend. It is calculated on the face value of the share.



Dividend is expressed as percentage.

Some useful results:

(i) Investment:

Money invested = number of shares × market value of a share.

(ii) Income:

Annual income = number of shares × face value of a share × rate of dividend.

(iii) Return percentage (or yield percentage):

Percentage of return

$$= \frac{Income}{Investment} \times 100$$

(iv) Number of shares:

Number of shares purchased

$$= \frac{Investment}{market\ value\ of\ a\ share}$$

Stock exchange:

The place where the shares are traded is called the stock exchange (or) stock market.

Brokerage:

A broker who executes orders to buy and sell shares through a stock market is called Stock Broker. A fee or commission for their service is called the brokerage.

Brokerage is generally based on the face value and expressed as a percentage.

NOTE

(i) When the share is purchased, brokerage is added to its market price.

(ii) When the share is sold, brokerage is subtracted from the market price.

Example 7.11

Find the market value of 325 shares of face value ₹100 at a premium of ₹18.

Solution:

Face value of a share = ₹100

Premium per share = ₹18

M.V. of a share = ₹118

Market value of 325 shares = number of shares × M.V of a share

= 325 × 118 = ₹38,350

Therefore market value of 325 shares is ₹38,350.

Example 7.12

A man buys 500 shares of face value ₹100 at ₹14 below par. How much money does he pay?

Solution:

Number of shares = 500

Face value of a share = ₹100

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